

Coastal Mutual - Restaurant Commercial Package Policy

Policyholder: Lagoon Kitchen, Negombo, Sri Lanka

Policy number: CM-RST-2026-0418

Policy period: 1 January 2026 to 31 December 2026

Section 1 - Fire and Explosion

We will pay for loss or damage to the buildings, kitchen equipment, furniture and food stock at the premises caused by fire, lightning or explosion. This includes fires that start in cooking equipment such as deep fryers, grills and gas stoves. Cover for fires that start in deep fryers applies only if an automatic fire suppression system is fitted above the fryers and serviced at least every six months. Damage caused by gradual overheating of electrical wiring is not covered.

Section 2 - Equipment Breakdown and Refrigeration

We will pay for the repair or replacement of kitchen machinery, including the walk-in freezer, refrigerators, ice machines and dishwashers, after a sudden and accidental breakdown. Food stock that spoils because a freezer or refrigerator breaks down is covered up to LKR 500,000 for each event. Breakdown caused by wear and tear, rust or a lack of regular maintenance is excluded. The POS system, tablets and other computer equipment are not covered by this cover.

Section 3 - Theft and Burglary

Theft of stock, equipment and cash is covered only after forcible and violent entry into the premises. Cash is covered up to LKR 100,000 when it is kept in a locked safe outside opening hours. Theft by employees, and theft without forced entry, are not covered.

Section 4 - Public and Products Liability

We will cover your legal liability for accidental bodily injury to customers and members of the public at the premises, for example slips and falls in the dining area. This cover also includes claims for food poisoning and allergic reactions caused by food or drink you served, up to LKR 10,000,000 in any one year. Claims arising from deliveries made by third-party delivery companies are excluded.

Section 5 - Business Interruption

If the premises cannot be used because of damage covered under the fire or equipment breakdown cover above, we will pay the loss of gross profit for up to 90 days. Loss of income caused by a failure of the public power, gas or water supply that is not due to damage at the premises is excluded.

Section 6 - General Exclusions

This policy does not cover loss or damage caused by flood, storm surge, rising sea water or the overflow of the lagoon. It does not cover losses from cyber attacks, hacking, ransomware, data breaches or the theft of customer data from the online ordering system. Card payment fraud and chargebacks are not covered. Injury to employees must be insured under a separate workmen's compensation policy and is not covered here.